# Regulating the Digital Dice

**A combination of regulatory measures by the government and self-regulation by industry is framing India's response to the damaging fallout of real money gaming**



## WHAT'S DONE

- The revised IT Rules (April 2023) mandate grievance redressal, KYC and age verification for RMG platforms. Non-compliance may lead to loss of intermediary liability protection
- Till February 2025, the nodal Ministry of Electronics and Information Technology (MeitY) had blocked 1,410 non-compliant websites/apps. Fresh measures introduced in March 2025 focus on preventing fraud, data theft and addiction
- A 28% GST was introduced on full bet value in October 2023 followed by 30% TDS on net winnings from 2024-25—

platforms thrive in the grey areas, often masquerading as skill-based games. This leaves consumers vulnerable to mental and financial harm," she warns. "A comprehensive national framework that clearly distinguishes between games of skill and games of chance is essential to protect users and increase accountability." Jain agrees. "We urgently need a SEBI-like regulator for gaming," he says, "one that mandates licensing, audits and public education to curb addiction." Sharma weighs in, saying, "Compliance with Information Technology (Intermediary Guidelines and Digital Media Ethics Code) Rules, 2021, such as publishing an Indian contact address and adhering to the 'purpose limitation' principle, is critical to preventing such abuses." (Purpose limitation means personal data should be used only for the specific, legitimate purposes for which it was collected.)

## Cracking the Whip

Responding to the growing menace, the government has initiated a string of reforms. In December 2022, the Union ministry of electronics and information technology (MeitY) was appointed the nodal authority for online gaming. The ministry revised the IT Rules, 2021, in April 2023 to strengthen the regulation of online gaming intermediaries. Platforms must now conduct age verification, provide grievance redressal and comply with strict KYC (Know Your Customer) norms. Till February 2025, MeitY had also blocked 1,410 non-compliant websites/apps. Fresh measures introduced in March this year are designed to protect users from illegal gambling, data theft and addiction, while ensuring the industry remains accountable and transparent.

In addition, over the past two years, the government has imposed a 28 per cent Goods and Services Tax (GST) on the full value of bets, and a 30 per cent income tax on net winnings, aimed at both curbing casual gambling and ensuring financial transparency. The Centre is also working towards including RMG platforms under the PMLA, effectively classifying them as 'reporting entities'. When implemented, it would require these platforms to enforce stricter KYC norms, maintain detailed transaction records and report suspicious activity to the FIU.

Tamil Nadu has gone a step further, rolling out detailed rules for its Prohibition of Online Gambling and Regulation of Online Games Act, 2022, in February this year. These mandate gaming curfews between midnight and 5 am, pop-up warnings after an hour of play and caps on user spending. States like Telangana, Karnataka and Andhra Pradesh have launched similar crackdowns to impose a blanket ban on RMG while Kerala tried to outlaw playing rummy for stakes. Most of these efforts have either stumbled in the courts or been circumvented by virtual private networks (VPNs)—a backdoor access to banned sites.

The stricter measures have also driven many users toward offshore



**"While the law clearly creates a distinction between games of skill and chance offline, there is a lack of clarity on the legality of online betting and gambling services. We need a SEBI-like regulator for online gaming"**

**ANANAY JAIN**
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